

zero, have a nice day. A catastrophic loss. And one that 4 in 10 public companies experience over time. Carolco's story is not worth telling because it's unique, but because it's common.

Here's the most important part of this story: The Russell 3000 has increased more than 73-fold since 1980. That is a spectacular return. That is *success*.

Forty percent of the companies in the index were effectively failures. But the 7% of components that performed extremely well were more than enough to offset the duds. Just like Heinz Berggruen, but with Microsoft and Walmart instead of Picasso and Matisse.

Not only do a few companies account for most of the market's return, but within those companies are even more tail events.

In 2017, Amazon drove 6% of the S&P 500's returns. And Amazon's growth is almost entirely due to Prime and Amazon Web Services, which itself are tail events in a company that has experimented with hundreds of products, from the Fire Phone to travel agencies.

Apple was responsible for almost 7% of the index's returns in 2017. And it is driven overwhelmingly by the iPhone, which in the world of tech products is as tail-y as tails get.

And who's working at these companies? Google's hiring acceptance rate is 0.2%.²² Facebook's is 0.1%.²³ Apple's is about 2%.²⁴ So the people working on these tail projects that drive tail returns have tail careers.

The idea that a few things account for most results is not just true for companies in your investment portfolio. It's also an important part of your own behavior as an investor.

Napoleon's definition of a military genius was, "The man who can do the average thing when all those around him are going crazy."

It's the same in investing.

Most financial advice is about *today*. What should you do *right now*, and what stocks look like good buys *today*?

But most of the time *today* is not that important. Over the course of your lifetime as an investor the decisions that you make today or tomorrow or next week will not matter nearly as much as what you do during the small